# INVESTORS' RIGHTS AGREEMENT

## Governing provision

Major Investor means a holder of at least 1,500,000 shares of Capital Stock.

## Recitals and Parties

This Agreement is made among Helioscope Robotics, Inc., a Delaware corporation (the Company), the purchasers of Series B Preferred Stock listed on the Schedule of Investors attached to this Agreement, and the holders of Series Seed Preferred Stock and Series A Preferred Stock who have executed this Agreement or a joinder to it. The parties other than the Company are together the Investors.

The Company and the purchasers of Series B Preferred Stock are parties to a purchase agreement of even date (the Purchase Agreement), under which the purchasers subscribe for shares of Series B Preferred Stock. It is a condition to the closing under the Purchase Agreement that this Agreement be executed and delivered, and that the existing holders of Preferred Stock become parties to it in substitution for the corresponding agreement entered into in connection with the Series A financing.

The parties therefore agree that this Agreement supersedes that earlier agreement in its entirety, except that an information undertaking given to a holder under a side letter identified in the Schedule of Investors survives to the extent Section 17(f) provides. Capitalized terms used and not defined in this Agreement have the meanings given in the Purchase Agreement.

## Section 1 - Definitions

Damages means a loss, claim, damage or liability, joint or several, to which a party may become subject, insofar as it arises out of an untrue statement of a material fact contained in a registration statement or prospectus, an omission to state a material fact required to be stated in it or necessary to make the statements in it not misleading, or a violation by the Company of a securities law in connection with a registration.

Excluded Registration means a registration relating to the sale of securities to participants in a Company benefit plan, a registration on any form that does not include substantially the same information as would be required in a form for the general registration of securities, a registration relating to a corporate reorganization or other transaction under a rule promulgated under the Securities Act, and a registration in which the only Common Stock being registered is issuable on conversion of debt securities also being registered.

Holder means an Investor holding Registrable Securities, or a permitted transferee to whom the rights under Sections 2 to 12 have been assigned in accordance with Section 12(a). Initiating Holders means the Holders who initiate a request under Section 2(a) or Section 4(a). Major Investor means a Holder holding at least the number of shares of Capital Stock stated as the Major Investor threshold in the Purchase Agreement.

Registrable Securities means the Common Stock issuable or issued on conversion of the Preferred Stock held by an Investor, together with any Common Stock issued as a dividend or other distribution in respect of those shares, excluding in each case a share that has been sold in a registered offering or in a resale under an available safe harbour, and excluding a share held by a person who is no longer entitled to the rights under this Agreement.

Registration Expenses means the expenses allocated to the Company in Schedule 8.1, and Selling Expenses means the expenses allocated in that Schedule to the selling Holders. Restricted Securities means securities of the Company that must bear the legend described in Section 12(d). Form S-3 means that registration form under the Securities Act of 1933, as amended or any successor short-form registration statement.

## Section 2 - Demand Registration

If the Company receives, at any time after the earlier of the date stated in the Purchase Agreement and the closing of the Company's initial public offering, a written request from Holders of the proportion of the Registrable Securities stated in the Purchase Agreement that the Company file a registration statement with respect to Registrable Securities

having an anticipated aggregate offering price above the minimum stated in the Purchase Agreement, the Company must give notice of the request to all other Holders within 10 days.

The Company must then, as soon as practicable and in any event within the period stated in the Purchase Agreement after the request, file a registration statement covering the Registrable Securities the Initiating Holders requested to be registered together with those any other Holder requests to be included by notice given within 20 days of the Company's notice, and must use commercially reasonable efforts to cause the registration statement to become effective.

The Company is not obliged to effect a registration under this Section during the period beginning with the filing of and ending 90 days after the effectiveness of a Company-initiated registration, provided that the Company is using commercially reasonable efforts to cause that registration to become effective; if the Company has already effected the number of demand registrations stated in the Purchase Agreement; if the Registrable Securities requested may then be registered on Form S-3 under Section 4; or in respect of an Excluded Registration.

The Company may defer the filing of a registration statement requested under this Section, once in any twelve-month period and for a period of not more than 45 days, if the Board of Directors determines in good faith that the filing would be materially detrimental to the Company because it would require the disclosure of a material transaction not otherwise required to be disclosed. The Company must give the Initiating Holders notice of the deferral and a certificate of the Board's determination, and the Initiating Holders may withdraw the request during the deferral without it counting as a demand.

## Section 3 - Company Registration

If the Company proposes to register any of its Common Stock under the Securities Act in connection with a public offering for cash, other than in an Excluded Registration, it must give each Holder notice of the proposed registration at least 20 days before the anticipated filing date, describing the intended method of distribution and the identity of the managing underwriter if one has been selected.

Each Holder may include its Registrable Securities in that registration by giving notice within 15 days of the Company's notice, specifying the number of Registrable Securities it wishes to include. The Company must include those securities in the registration, subject to the underwriting requirements of Section 5 and to the Company's right to withdraw under the following subsection.

The Company may withdraw a registration initiated under this Section at any time before its effectiveness, whether or not a Holder has elected to include securities in it, and is not obliged to proceed with the offering. A withdrawal under this subsection does not count against the number of demand registrations available under Section 2, and the Company bears the Registration Expenses incurred in connection with the withdrawn registration.

## Section 4 - Short-Form Registration

If, at a time when the Company is eligible to use Form S-3, the Company receives a written request from a Major Investor that the Company effect a registration on Form S-3 of Registrable Securities having an anticipated aggregate offering price above the minimum stated in the Purchase Agreement, the Company must give notice of the request to all other Holders within 10 days and must effect the registration requested, together with the Registrable Securities of any Holder who elects to participate within 20 days of that notice.

The Company is not obliged to effect more than one registration under this Section in any period of six months, is not obliged to effect a registration under this Section if it is not then eligible to use Form S-3, and may defer a filing under this Section on the same basis and for the same maximum period as Section 2(d) permits. A registration effected under this Section does not count against the number of demand registrations available under Section 2.

Where the Company is eligible to use Form S-3 and the Holders request a shelf registration, the Company must keep the registration statement effective, and the prospectus current, until the earlier of the sale of all Registrable Securities registered under it and the date on which the Registrable Securities of each participating Holder may be sold without restriction under an available resale safe harbour, as promulgated by the Commission (17 C.F.R. § 230.144).

## Section 5 - Underwriting Requirements and Cutbacks

If a registration under Section 2 or Section 4 is to be an underwritten offering, the Initiating Holders select the managing underwriter, subject to the approval of the Company, which may not be unreasonably withheld. In a registration under Section 3 the Company selects the managing underwriter. A Holder may not participate in an underwritten offering unless it enters into the underwriting agreement, completes the questionnaires and powers of attorney the underwriters require, and agrees to the custody arrangements for its shares.

If the managing underwriter advises the Company in writing that marketing factors require a limitation on the number of shares to be underwritten, then in a registration initiated under Section 2 or Section 4 the shares to be excluded are first the shares of holders other than the Holders and the Company, then the shares the Company proposes to register for its own account, and last the Registrable Securities of the Holders, reduced among them in proportion to the number of Registrable Securities each requested to include.

In a registration initiated under Section 3, the shares to be excluded are first the shares of holders other than the Holders and the Company, then the Registrable Securities of the Holders reduced in proportion to their requested amounts, and last the shares the Company proposes to register for its own account, provided that in an initial public offering the Registrable Securities may be excluded in their entirety if the managing underwriter so requires.

A Holder whose Registrable Securities are excluded in whole or in part under this Section may withdraw from the offering by notice given to the Company and the managing underwriter before the effective date. A Holder that declines to enter into the underwriting agreement is treated as having withdrawn, and the Registrable Securities it had requested to include are reallocated among the participating Holders in proportion to their requested amounts.

## Section 6 - Obligations of the Company

In connection with each registration effected under this Agreement the Company must prepare and file the registration statement and each amendment and supplement to it, use commercially reasonable efforts to cause it to become effective, and keep it effective for the period stated in Section 6(e). The Company must furnish each participating Holder and the underwriters with the number of copies of the prospectus they reasonably request, including each preliminary prospectus and each amendment.

The Company must use commercially reasonable efforts to register or qualify the securities covered by the registration statement under the securities laws of the jurisdictions the managing underwriter reasonably requests, other than a jurisdiction in which the Company would be required to qualify to do business or to submit generally to service of process, and must cause the securities to be listed on each exchange on which similar securities of the Company are then listed.

The Company must provide a transfer agent and registrar for the registered securities, obtain a security identifier for them, enter into an underwriting agreement in customary form where the offering is underwritten, and use commercially reasonable efforts to obtain the opinions, comfort letters and certificates the underwriting agreement requires. It must notify each participating Holder promptly of the effectiveness of the registration statement, of the issue of a stop order, and of the occurrence of an event requiring an amendment or supplement.

The Company must keep the registration statement effective until the earlier of the sale of all securities registered under it, the expiry of the period stated in the Purchase Agreement, and the date on which the participating Holders may sell their Registrable Securities without restriction under an available resale safe harbour. A period during which the use of the prospectus is suspended under Section 7(c) does not count toward that period.

## Governing provision and cross-references

Major Investor means a holder of at least 1,500,000 shares of Capital Stock.

This provision is read with the defined terms, the schedules to this instrument, and any consent or waiver recorded against it; a summary prepared from it does not vary it.

## Section 7 - Information from Holders and Suspension of Sales

A Holder that wishes to include Registrable Securities in a registration must furnish the Company with the information regarding itself, its Registrable Securities and its intended method of disposition that the Company reasonably requires to effect the registration. The Company is not obliged to include the Registrable Securities of a Holder that fails to furnish that information within a reasonable period after request, and may exclude them from the registration statement without further notice.

Each Holder represents that the information it furnishes is accurate and undertakes to notify the Company promptly of a change that would make it inaccurate. A Holder that becomes aware that the prospectus contains an untrue statement of a material fact relating to information it furnished must notify the Company and must suspend sales under the prospectus until the Company has filed an amendment or supplement.

On receipt of a notice from the Company that the prospectus contains an untrue statement of a material fact or omits a material fact, or that the Board of Directors has determined in good faith that continued use of the prospectus would require premature disclosure of a material transaction, each Holder must suspend sales under the prospectus until it receives copies of a supplemented or amended prospectus or is advised by the Company that use of the prospectus may be resumed. The Company may not exercise this right more than twice in any twelve-month period or for more than 45 days on any occasion.

## Section 8 - Registration Expenses

The Company bears the Registration Expenses of each registration effected under Sections 2, 3 and 4, and the selling Holders bear the Selling Expenses, in each case as Schedule 8.1 allocates them. The allocation in that Schedule governs a category of expense whether or not the offering is completed, subject to the following subsection.

Where a registration requested under Section 2 or Section 4 is withdrawn at the request of the Initiating Holders before it becomes effective, the Initiating Holders bear the Registration Expenses incurred to the date of withdrawal in proportion to the Registrable Securities each had requested to include, unless the withdrawal is made in response to a material adverse change in the Company's condition first disclosed after the request, in which case the Company bears them and the request does not count as a demand.

The cap on the reimbursement of one counsel for the selling Holders is the amount stated in the Purchase Agreement, applies to each registration separately, and is not increased because more than one Holder participates. The selling Holders select that counsel by the Holders of a majority of the Registrable Securities being registered, and a Holder that engages separate counsel bears that cost itself.

**Schedule 8.1 - Allocation of Registration Expenses by category**

| Expense category | Borne by | Condition or limitation | Supporting documentation |
|---|---|---|---|
| Commission registration fee | Company | All registrations, including a withdrawn registration | Filing receipt and fee wire confirmation |
| Underwriters' regulatory filing fee | Company | Underwritten offerings only | Underwriter invoice and clearance letter |
| Exchange listing or quotation fee | Company | Initial listing and any supplemental listing | Exchange invoice and listing approval |
| Blue sky qualification and related counsel fees | Company | Excluding states in which no offer is made | State filing receipts and counsel invoice |
| Printing and engraving of the prospectus | Company | Including preliminary and final prospectuses | Financial printer invoice |
| Electronic filing conversion and agent fees | Company | All registrations | Filing agent invoice |
| Company counsel fees and disbursements | Company | Without limitation as to amount | Counsel invoice with narrative detail |
| One counsel for the selling Holders | Company | Reimbursed up to the cap stated in the Purchase Agreement | Counsel invoice and Holders' selection notice |
| Additional counsel engaged by an individual Holder | That Holder | No reimbursement in any circumstance | Not applicable |
| Independent accountants, audit and review fees | Company | Including consents to the use of a report | Accountant invoice and consent letter |
| Comfort letters requested by the underwriters | Company | Underwritten offerings only | Accountant engagement letter and letter delivered |
| Underwriting discounts and | Selling Holders | Allocated in proportion to shares | Underwriting agreement and |

| Expense category | Borne by | Condition or limitation | Supporting documentation |
|---|---|---|---|
| selling commissions | | sold | settlement statement |
| Transfer taxes on shares sold | Selling Holder of those shares | No proration among Holders | Settlement statement and tax receipt |
| Transfer agent and registrar fees | Company | Including fees for the issue of new certificates | Transfer agent invoice |
| Security identifier and depository fees | Company | All registrations | Depository and agent invoices |
| Road show travel and presentation costs | Company | Excluding costs of a Holder's own personnel | Vendor invoices and expense reports |
| Directors' and officers' insurance uplift for the offering | Company | Only where the underwriters require the uplift | Broker letter and policy endorsement |
| Investor presentation design and production | Company | Underwritten offerings only | Vendor invoice |
| Fees of a qualified independent underwriter | Company | Only where the rules require one | Engagement letter and invoice |
| Costs of a withdrawn registration | Company | Unless withdrawn at the request of the Initiating Holders | Withdrawal notice and expense summary |
| Costs of a suspended prospectus period | Company | Including the cost of a post-effective amendment | Suspension notice and amendment filing |
| Custodian and power of attorney costs for selling Holders | Selling Holders | Allocated in proportion to shares sold | Custody agreement and invoice |
| Cost of a Holder's own tax advice on the offering | That Holder | No reimbursement in any circumstance | Not applicable |
| Cost of removing a restrictive legend after the offering | Company | Where removal is required to settle the sale | Transfer agent instruction and counsel letter |
| Fees for an opinion required by the transfer agent | Company | Where the opinion relates to the registered offering | Counsel invoice and opinion delivered |
| Costs of an offering the Company abandons before filing | Company | Does not count against a demand | Board minute recording the abandonment |

## Section 9 - Indemnification and Contribution

The Company must indemnify and hold harmless each participating Holder, its officers, directors, partners, members and agents, each underwriter and each person who controls a Holder or an underwriter, against Damages arising out of an untrue statement of a material fact in the registration statement or prospectus, an omission of a material fact required to be stated in it, or a violation by the Company of a securities law in connection with the registration, and must reimburse each such person for legal and other expenses reasonably incurred in investigating or defending a claim.

The Company's obligation under the preceding subsection does not extend to Damages that arise out of an untrue statement or omission made in reliance on information furnished by the indemnified Holder for use in the registration statement, and does not extend to a settlement effected without the Company's consent. Each participating Holder must indemnify the Company, its directors and officers, each underwriter and each controlling person against Damages arising out of an untrue statement or omission made in reliance on information that Holder furnished.

A Holder's aggregate liability under this Section may not exceed the net proceeds that Holder received from the sale of its Registrable Securities in the registration to which the claim relates, except in the case of fraud or wilful misconduct by that Holder. An indemnified party must give the indemnifying party prompt notice of a claim, and a failure to do so relieves the indemnifying party of liability only to the extent it is prejudiced by the delay.

The indemnifying party may assume the defence of a claim with counsel reasonably satisfactory to the indemnified party. The indemnified party may retain separate counsel at the indemnifying party's expense where representation by the same counsel would be inappropriate because of an actual or potential conflict of interest. If the indemnification provided in this Section is unavailable to an indemnified party, the parties must contribute to the amount paid in the proportion appropriate to reflect their relative fault and relative benefit, and the parties acknowledge that indemnification for a liability arising under the Securities Act may be held to be against public policy and therefore unenforceable, having regard to the position the Commission has taken (15 U.S.C. § 77d(a)(2)).

The obligations in this Section survive the completion of an offering, the termination of this Agreement and the transfer of the Registrable Securities to which the claim relates, and are in addition to any liability the indemnifying party may have at law.

## Section 10 - Market Standoff

Each Holder agrees that, in connection with the Company's initial public offering, it will not sell, offer to sell, contract to sell, pledge, hypothecate, grant an option over or otherwise transfer or dispose of any Common Stock or any security convertible into or exercisable for Common Stock, and will not enter into a swap or other arrangement that transfers the economic consequences of ownership, during the period the managing underwriter requires, without the prior written consent of the managing underwriter.

The obligation in this Section applies only if the officers, the directors and each holder of more than the proportion of Common Stock stated in the Purchase Agreement are bound by a substantially identical undertaking, and only if a release granted to any of them is granted rateably to each Holder bound by this Section. The obligation does not apply to a transfer to an affiliate or to a transfer permitted by the underwriters in the lock-up agreement itself.

Each Holder authorizes the Company to impose stop-transfer instructions with its transfer agent in respect of the securities subject to this Section for the duration of the standoff period, and agrees to execute the form of lock-up agreement the managing underwriter requires. A Holder that fails to execute that form remains bound by this Section as if it had.

## Section 11 - Reports, Public Information and the Resale Covenant

With a view to making available to the Holders the benefit of the rules the Commission has adopted permitting the resale of restricted securities without registration, the Company must make and keep available adequate current public information about itself once it becomes subject to the periodic reporting requirements, must file the reports and other documents required of it, and must not take an action that would cause the resale safe harbour to become unavailable to a Holder.

The Company must furnish to a Holder, on request, a written statement as to whether it has complied with the current public information requirement of the resale safe harbour on which a Holder proposes to rely (17 C.F.R. § 230.144), a copy of the most recent annual or quarterly report it has filed, and any other information the Holder reasonably requires in order to sell its Registrable Securities without registration. The Company must also cooperate with a resale effected in reliance on the safe harbour available for resales to qualified institutional buyers where the Holder elects to proceed on that basis (17 C.F.R. § 230.144A).

The Company must, on the request of a Holder and on delivery of the documentation the transfer agent requires, instruct the transfer agent to remove the restrictive legend from a certificate or book-entry notation where the securities may then be sold without restriction, and must bear the cost of any legal opinion the transfer agent requires for that purpose.

## Section 12 - Transfer and Termination of Registration Rights

The rights conferred by Sections 2 to 11 may be assigned by a Holder to a transferee of Registrable Securities that is an affiliate of the Holder, a fund or entity under common management with it, a partner or member to whom the Holder distributes securities, or a transferee acquiring at least the number of shares stated in the Purchase Agreement, provided that the Company is given written notice of the transfer and the transferee agrees in writing to be bound by this Agreement.

The rights conferred by Sections 2 to 11 terminate, as to all Holders, on the earlier of the closing of a Deemed Liquidation Event as defined in the Company's certificate of incorporation and the date stated in the Purchase Agreement following the Company's initial public offering. They terminate as to an individual Holder when that Holder ceases to hold Registrable Securities, or when all Registrable Securities held by that Holder may be sold without restriction and without volume limitation under an available resale safe harbour.

A termination under this Section does not affect an obligation that has accrued before it, and does not terminate the indemnification and contribution obligations in Section 9 in respect of a registration effected before the termination. The information and inspection rights in Section 13, the observer rights in Section 14 and the participation right in Section 15 terminate as those Sections provide and not under this Section.

Each certificate representing Registrable Securities, and each book-entry notation for them, must bear a legend recording that the securities have not been registered under the Securities Act of 1933, as amended and may not be transferred except pursuant to an effective registration statement or an available exemption, and recording that the securities are subject to the restrictions in this Agreement and in the agreements identified in it.

## Section 13 - Information and Inspection Rights

The Company must deliver to each Major Investor the reports listed in Schedule 13.1, prepared on the basis stated in that Schedule, on the trigger stated in it and with the certification stated in it. Where a report is stated to be delivered after the end of a period, delivery must be made within the period stated in the Purchase Agreement for that report, and the Company must notify the Major Investors if it will not meet that period.

Each Major Investor may inspect the Company's books and records, examine its facilities, and discuss its affairs, finances and accounts with its officers and its independent accountants, in each case at reasonable times, on reasonable notice, and for a purpose reasonably related to its investment. An inspection must be conducted so as not to interfere unreasonably with the Company's operations, and the Company may require a representative to accompany the inspecting party.

The Company is not obliged to deliver information or to permit access under this Section where doing so would, in the good-faith determination of the Board of Directors, disclose a trade secret whose disclosure would materially harm the Company, or waive a legal privilege. Where the Company withholds information on that basis it must notify the Major Investor of the fact and of the general nature of the information withheld.

The Company may decline to deliver the monthly management accounts, the intellectual property register extract and the customer notices to a Major Investor that is a Competitor as defined in the Purchase Agreement, and must notify that Major Investor when it does so. A Major Investor that receives information under this Section must keep it confidential, may share it with its own partners, advisers and prospective transferees who are bound by equivalent obligations, and may not use it in connection with an investment in a Competitor.

The rights conferred by this Section terminate on the earlier of the closing of a Qualified Public Offering and the closing of a Deemed Liquidation Event, and terminate as to an individual Major Investor when it ceases to hold the Major Investor threshold.

**Schedule 13.1 - Information delivery calendar and certification requirements**

| Report | Basis of preparation | Recipient class | Delivery trigger | Certification |
|---|---|---|---|---|
| Audited annual financial statements | Generally accepted accounting principles, audited | All Major Investors | On completion of the audit for the fiscal year | Auditor report and officer certificate |
| Unaudited quarterly financial statements | Generally accepted accounting principles, unaudited | All Major Investors | After the end of each of the first three quarters | Officer certificate as to preparation |
| Monthly management accounts | Management basis, consistent month to month | Major Investors other than a Competitor | After the end of each calendar month | None required |
| Statement of cash flows and cash runway | Management basis | All Major Investors | With the monthly management accounts | None required |
| Annual budget and operating plan | Management basis, as approved by the Board | All Major Investors | Before the start of the fiscal year to which it relates | Board approval resolution |
| Revised forecast on a material variance | Management basis | All Major Investors | On a variance beyond the tolerance set by the Board | Officer memorandum explaining the variance |
| Capitalization table | As maintained on the platform of record | All Major Investors | Quarterly and on request | Officer certificate on request |
| Equity award ledger summary | Award ledger, reconciled to the register | All Major Investors | Quarterly | Officer certificate as to reconciliation |
| Convertible instrument schedule | Instrument files | All Major Investors | On the issue or amendment of an instrument | Officer certificate as to completeness |
| Board meeting materials | As distributed to directors | Observer and Preferred designees | At the same time as distribution to directors | None required |
| Notice of material litigation | Narrative with counsel's assessment | All Major Investors | Promptly on service or on threat in writing | None required |
| Notice of default under indebtedness | Narrative with the lender correspondence | All Major Investors | Promptly on the occurrence or on notice | Officer certificate as to the facts |

| Report | Basis of preparation | Recipient class | Delivery trigger | Certification |
|---|---|---|---|---|
| | | | from a lender | |
| Notice of loss of a material customer | Narrative with the contract reference | All Major Investors | Promptly on receipt of a termination or non-renewal | None required |
| Notice of a safety incident involving a deployed robot | Incident report as filed internally | All Major Investors | Promptly on the incident being reported internally | Officer certificate as to the report |
| Notice of a change of independent accountants | Narrative with the reason | All Major Investors | Promptly on the change | Board resolution |
| Insurance certificate schedule | Broker certificate | All Major Investors | Annually and on a material change in coverage | Broker letter |
| Intellectual property register extract | As maintained by counsel | All Major Investors | Annually | None required |
| Tax return summary and provision workings | As filed and as provided for | All Major Investors | After filing of the federal return | Officer certificate as to filing |
| Stock ledger extract after an equity issuance | Platform of record | All Major Investors | Promptly after any issuance | Officer certificate as to the issuance |
| Compliance certificate as to the covenants in Section 16 | Management basis | All Major Investors | Annually with the audited statements | Officer certificate |
| Notice of a proposed amendment to an equity plan | Draft amendment with the adoption record | All Major Investors | Before the amendment is submitted for approval | Board resolution when adopted |
| Notice of the exercise of a protective provision waiver | Narrative with the waiver instrument | All Major Investors | Promptly on the waiver being given | Copy of the executed waiver |

## Section 14 - Board Observer Rights

For so long as it holds the shares stated in the Purchase Agreement, Kadence Industrial Holdings may appoint one representative to attend meetings of the Board of Directors in a nonvoting observer capacity. The Company must give the observer notice of each meeting at the same time and in the same manner as notice is given to the directors, and must provide the observer with the materials distributed to the directors at the same time they are distributed.

The observer is not a director, is not counted in determining whether a quorum is present, and does not vote on any matter. The Company may exclude the observer from a portion of a meeting, and may withhold a portion of the materials, where the Board of Directors determines in good faith that attendance or delivery would jeopardize a legal privilege, disclose information about a competitor of the appointing holder, or create a conflict of interest.

The observer must execute a confidentiality undertaking in the form the Company prescribes before attending a meeting, and the appointing holder is responsible for a breach of that undertaking by its observer. The rights conferred by this Section terminate on the closing of a Qualified Public Offering, on the appointing holder ceasing to hold the stated shares, or on the appointing holder acquiring an interest in a Competitor that the Board of Directors determines to be material.

## Section 15 - Right of Participation

The Company must give each Major Investor the opportunity to purchase its pro rata share of New Securities the Company proposes to issue. New Securities means shares of capital stock and securities convertible into or exercisable for shares of capital stock, other than the categories excluded in Section 15(e). A Major Investor's pro rata share is the ratio of the shares of Capital Stock it holds to the total shares of Capital Stock then outstanding, each determined on the as-converted basis the Purchase Agreement specifies.

The Company must deliver an offer notice describing the New Securities, the price and the terms on which they are to be issued, and each Major Investor may elect to purchase up to its pro rata share by notice given within 20 days of the offer notice. An election is irrevocable and is conditioned on the closing of the issuance to the other purchasers.

If a Major Investor does not elect to purchase its full pro rata share, the Company must notify the Major Investors that elected to purchase their full pro rata share, and those Major Investors may elect within 10 days to purchase the unsubscribed portion, allocated among them in proportion to the shares of Capital Stock each holds. A Major Investor's entitlement under this Section is its pro rata share as defined, together with any reallocation under this subsection, and nothing in this Section confers a right to purchase a greater number of New Securities.

If the Major Investors do not subscribe for all of the New Securities, the Company may issue the unsubscribed New Securities within the period stated in the Purchase Agreement after the expiry of the election periods, at a price and on terms no more favourable to the purchasers than those described in the offer notice. If the Company does not complete the issuance within that period, or proposes to issue on more favourable terms, it must give a fresh offer notice.

New Securities does not include shares issued on the conversion of Preferred Stock; shares issued or issuable under an equity incentive plan approved as the certificate of incorporation requires; shares issued as a dividend or distribution on the Preferred Stock; shares issued on the exercise of an option or warrant outstanding on the date of this Agreement; shares issued in an acquisition approved by the Board of Directors including the directors designated by the holders of Preferred Stock; shares issued to a lender or lessor in connection with a facility approved by the Board of Directors; and shares issued in the Company's initial public offering. The rights conferred by this Section terminate on the closing of a Qualified Public Offering or of a Deemed Liquidation Event.

## Section 16 - Covenants of the Company

The Company must maintain directors' and officers' liability insurance with a carrier and in an amount approved by the Board of Directors including the directors designated by the holders of Preferred Stock, and must not cause or permit the policy to lapse or be amended in a manner adverse to a director without that approval. The Company must enter into an indemnification agreement in the form approved by the Board of Directors with each director then serving and with each director designated after the date of this Agreement.

The Company must require each employee and each consultant to execute its confidential information and invention assignment agreement before commencing service, and must not amend, terminate or waive a provision of an executed agreement without the approval of the Board of Directors including the directors designated by the holders of Preferred Stock. Exceptions existing at the date of this Agreement are listed in the disclosure schedule to the Purchase Agreement and the Company must use reasonable efforts to clear them.

Equity awards granted after the date of this Agreement must vest over the standard schedule stated in the Company's equity plan documents, and an award with a different schedule, or an amendment accelerating vesting, requires the approval of the Board of Directors including the directors designated by the holders of Preferred Stock. The Company must not reprice an outstanding award or exchange it for cash without that approval.

The Board of Directors must meet at least quarterly unless the directors designated by the holders of Preferred Stock agree otherwise, and the Company must reimburse each director for the reasonable expenses of attending. The Company must use commercially reasonable efforts to cause its Common Stock to constitute qualified small business stock for the purposes of the applicable Internal Revenue Code provision (I.R.C. § 1202), and must submit to a Major Investor, on request, the information that Major Investor requires in order to determine that status.

The Company must not enter into a side letter or other agreement conferring on a holder of its capital stock a right not set out in this Agreement, the certificate of incorporation, the voting agreement or the transfer restriction agreement, unless it offers an equivalent right to each Major Investor. On a transaction in which the Company is not the surviving entity, the Company must cause the surviving entity to assume its obligations under Sections 9 and 11 in respect of registrations effected before the transaction.

## Section 17 - Miscellaneous

This Agreement binds and benefits the successors and permitted assigns of the parties. For every threshold and calculation in this Agreement, the holdings of a Holder are aggregated with the holdings of its affiliates, of any fund or entity under common management with it, and of any partner or member to which it has distributed securities, and those persons are treated as a single Holder for the purpose of giving a notice, making an election or granting a consent.

A person who purchases shares of Preferred Stock from the Company after the date of this Agreement may be added as a party, and as an Investor, by executing a counterpart signature page or a joinder, without the consent of the existing parties and without amending this Agreement. The Company must update the Schedule of Investors on each such addition and must provide the updated Schedule to a Holder on request.

This Agreement may be amended, and a provision of it waived, only with the written consent of the Company and the Holders of a majority of the Registrable Securities then outstanding, and an amendment or waiver so given binds every Holder. An amendment or waiver that by its terms adversely affects one Holder differently from the other Holders requires the written consent of that Holder, and an amendment to the definition of Major Investor, to Section 15 or to this subsection requires the written consent of each Major Investor.

A notice under this Agreement must be given in writing and is effective on personal delivery, on confirmed electronic transmission to the address in the Schedule of Investors, or on the business day after deposit with a nationally recognised overnight courier. A notice to a Holder that has not provided an address is effective if given to the address last shown in the Company's records, and a notice returned undelivered is nonetheless effective if given in accordance with this subsection.

This Agreement, together with the Purchase Agreement and the documents referred to in it, contains the entire agreement of the parties as to the rights it addresses and supersedes the corresponding agreement entered into in connection with the Series A financing. An information undertaking given under a side letter identified in the Schedule of Investors survives to the extent it confers a right this Agreement does not confer, and the Company must disclose the existence of each such letter to the Major Investors.

If a provision of this Agreement is held invalid or unenforceable, the remainder continues in effect and the provision held invalid is reformed to the minimum extent necessary to make it enforceable. A delay or omission in exercising a right under this Agreement is not a waiver of that right, and a waiver on one occasion is not a waiver on a later occasion. This Agreement may be executed in counterparts, including by electronic signature, each of which is an original and all of which together constitute one instrument.

## Section 18 - Confidentiality of Company Information

Each Holder must keep confidential the information the Company provides under this Agreement, including the reports listed in Schedule 13.1, the board materials a designee or observer receives, and the information obtained on an inspection, and may not use that information except in connection with the monitoring, valuation and disposition of its investment in the Company.

A Holder may disclose that information to its officers, employees, professional advisers, auditors and to the general partner, manager and limited partners of the fund through which it holds its investment, in each case where the recipient has a need to know it and is bound by an obligation of confidentiality or a professional duty at least as protective. A Holder may also disclose the information to a prospective transferee of its securities that has executed a confidentiality undertaking naming the Company as a beneficiary.

A Holder may disclose the information where required by law, by a regulator with jurisdiction over it, or by an order of a court, and must, where lawful and practicable, notify the Company before making the disclosure so that the Company may seek a protective order. The obligation in this Section does not apply to information that is or becomes publicly available otherwise than through a breach of this Section, that the Holder held before the Company provided it, or that the Holder obtains from a source not bound by an obligation to the Company.

## Section 19 - Termination of this Agreement

This Agreement terminates in its entirety on the earliest of the written agreement of the Company and the Holders of a majority of the Registrable Securities then outstanding, the closing of a Deemed Liquidation Event, and the date on which no Holder holds Registrable Securities. Termination of this Agreement is distinct from the termination of an individual right, which occurs when the Section conferring that right so provides.

On the closing of a Qualified Public Offering the rights in Sections 13, 14 and 15 terminate and the remainder of this Agreement continues, so that the registration provisions and the covenants that survive an offering remain in force. The parties acknowledge that Sections 9, 10, 11 and 18 are the provisions most likely to be relied on after an offering and that a termination notice given under this Section does not reach them where they have accrued.

Termination does not relieve a party of a liability that accrued before it, does not affect the Company's obligations in respect of a registration that was effected before it, and does not release a Holder from the confidentiality obligation in Section 18 in respect of information it received while this Agreement was in force.

## Section 20 - Regulatory Filings and Cooperation with Investor Reporting

The Company must, on the reasonable request of a Holder, provide the information that Holder requires in order to value its investment for its own financial reporting, to respond to an audit confirmation request from its auditors, and to complete a regulatory filing applicable to it as an investment fund. The Company is not obliged to prepare a valuation, to adopt a Holder's valuation methodology, or to confirm a valuation a Holder has prepared.

The Company must, on the request of a Holder that requires management rights in order to qualify as a venture capital operating company, enter into a management rights letter in the form approved by the Board of Directors, conferring the consultation and access rights that qualification requires. A management rights letter does not confer a right in addition to those in this Agreement other than the consultation right it describes.

The Company must cooperate with a Holder in making a filing required in connection with an acquisition of its securities, including a filing required under the pre-merger notification regime applicable to an acquisition of voting securities (15 U.S.C. § 18a) and the rules governing the content of such a filing as the enforcement agencies have promulgated them (16 C.F.R. pt. 803), and each party bears its own costs of that filing except as the Purchase Agreement provides.